



REPUBLIC OF THE PHILIPPINES
COMMISSION ON AUDIT
Commonwealth Avenue, Quezon City

**LOCAL GOVERNMENT AUDIT SECTOR
NATIONAL CAPITAL REGION**

INDEPENDENT AUDITOR'S REPORT

Honorable MARIA SHEILAH H. LACUNA-PANGAN, MD, FPDS
City Mayor
City of Manila

Report on the Audit of the Financial Statements

Qualified Opinion

We have audited the financial statements of the City of Manila, which comprise the Statement of Financial Position as at December 31, 2024, and the Statement of Financial Performance, the Statement of Cash Flows, and the Statement of Changes in Net Assets/Equity, for the year then ended, and Notes to Financial Statements, including a summary of significant accounting policies and other explanatory information.

In our opinion, except for the effects of the matter described in the Bases for Qualified Opinion section of our report, the accompanying financial statements present fairly, in all material respects, the financial position of the City of Manila as at December 31, 2024, and its financial performance, cash flows and changes in net assets/equity for the year then ended, and notes to financial statements, in accordance with International Public Sector Accounting Standards (IPSAS).

Bases for Qualified Opinion

The reliability of the reported Cash in Bank - Local Currency, Current Account (CIB - LCCA) account amounting to P8.072 billion, cannot be ascertained due to the following: (a) Existence of outstanding reconciling items in the Bank Reconciliation Statement (BRS) totaling P155.799 million and P142.181 million for additions and deductions, respectively, which remain unadjusted in the books; (b) Existence of variance totaling P96.510 million between the Subsidiary Ledgers (SL) balance of the Office of the City Accountant (OCAT) and cashbook balance of the City Treasurer's Office (CTO); and P160.925 million between the SL and the confirmed balances from Authorized Government Depository Banks (AGDBs); and (c) Existence of bank accounts for expropriated properties that were opened and confirmed by the bank as savings accounts and were recorded as CIB - LCCA under the General Fund (GF) books totaling P145.025 million. These conditions resulted in the misstatement of affected accounts contrary to Paragraph 27 of IPSAS I, Item 3.0 of COA Circular No. 96-011 and Section 20 of COA Circular No. 92-382 dated July 3, 1992.

The accuracy, existence and completeness of various receivables accounts as of December 31, 2024, cannot be ascertained due to the following: (a) Receivables totaling P276.143 million were recorded in total amount without SL details or supporting documentation to substantiate the composition of the balances; (b) Unsupported balances of Inter-Agency Receivables amounting to P23.682 million; (c) Misclassified tax credits amounting to P510.615 million in the Other Receivables - Others account and unrecorded Other Receivables amounting to P770.569 million; and (d) Unreconciled balance of P9.309 million due to non-recording of cleared dishonored checks under the Other Receivables - Dishonored Checks account. These are contrary to Paragraph 27 of the IPSAS 1; Sections 111 and 112 of Presidential Decree (PD) No. 1445; and Items 6.1 and 6.2 of COA Circular No. 2016-005, dated December 19, 2016.

The accuracy of the Inventory account, totaling P309.908 million, as presented in the Financial Statement (FS) could not be determined due to: (a) Adjustments to year-end balances with net amount of P757.257 million without corresponding documentation; (b) Unreconciled differences between the OCAT records and the City General Services Office (CGSO) Reports of Physical Count of Inventories (RPCI) resulting in misclassification or misposting within Inventory sub-accounts amounting to P301.743 million; (c) Inability of the OCAT to maintain Stock Ledger Cards (SLC); and (d) Unreliability of the CGSO RPCI due to discrepancies between CGSO reports and hospitals concerned caused by: (1) incorrect cut-off; (2) non-maintenance of stock cards; and (3) inconsistencies in the preparation and submission of Summary of Supplies and Materials Issued (SSMI). These are not in accordance with Paragraph 44 of IPSAS 12, Section 114 of the Manual of the New Government Accounting System (MNGAS) for Local Government Units (LGUs), and Section 111 of PD No. 1445.

The reliability and accuracy of the Construction in Progress (CIP) account balance totaling P4.086 billion cannot be ascertained due to: (a) Non-reconciliation of the OCAT records and the CGSO Report on the Physical Count of Property, Plant and Equipment (RPCPPE) of the CIP, with discrepancies amounting to P6.532 billion due to: (1) Projects appearing in the RPCPPE of CIP but were not recorded in the books, amounting to P0.106 billion; (2) Projects that have been completed but remain recorded under CIP and have not yet been reclassified to their corresponding asset accounts amounting to P2.097 billion; (3) The CIP account is credited for completed projects. However, the corresponding debit entry to initially recognize the project was not recorded, amounting to P0.241 billion; and (4) Double recording of transactions amounting to P0.178 billion; and (b) Non-maintenance of the CIP Ledger Card (CIPLC) for each project by the OCAT. These practices are not in accordance with Paragraph 27 of the IPSAS 1, Section 16 of Chapter 1 of the MNGAS for LGUs, Volume II, and Section 111 of PD No.1445. Thus, the fairness of the CIP account balance could not be established.

We conducted our audit in accordance with the International Standards of Supreme Audit Institutions (ISSAIs). Our responsibilities under those standards are further described in *Auditor's Responsibilities for the Audit of the Financial Statements* section of our report. We are independent of the City in accordance with the Revised Code of Conduct and Ethical Standards for Commission on Audit Officials and Employees (Code of Ethics) together with the ethical requirements that are relevant to our audit of the financial statements, and we have fulfilled our other ethical responsibilities in accordance with these requirements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Emphasis of Matter

Without modifying our opinion, we draw attention to Note 31 of the Notes to Financial Statements, which explains that the affected accounts of the restated financial statements for the year ended December 31, 2023, have been restated from those which we originally reported on May 6, 2024.

Responsibilities of Management and Those Charged with Governance for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with the IPSAS, and for such internal control as Management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, Management's responsibility for assessing the City's ability to continue as a going concern, disclosing as applicable, matters related to going concern and using the going concern basis of accounting unless Management either intends to liquidate the City or to cease operations, or has no alternative but to do so.

Those charged with governance are responsible for overseeing the City's financial reporting process.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISSAIs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with ISSAIs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the City's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by Management.

- Conclude on the appropriateness of Management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the City's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our Auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our Auditor's report. However, future events or conditions may cause the City to cease or continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit observations, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

Report on Other Legal and Regulatory Requirements

Our audits were conducted to form an opinion on the basic financial statements taken as a whole. The supplementary information for the year ended December 31, 2024, required by the Bureau of Internal Revenue as disclosed in Note 33 and other regulatory requirements as disclosed in Note 34 to the financial statements presented for additional analysis and are not required as part of the basic financial statements prepared in accordance with IPSAS. Such supplementary information is the responsibility of the Management. The supplementary information has been subjected to the auditing procedures applied in our audit of the basic financial statements and, in our opinion, is fairly stated, in all material aspects, in relation to the basic financial statements taken as a whole.

COMMISSION ON AUDIT

By:


JOSE DENNIS G. SIP
Supervising Auditor

City of Manila
June 03, 2025